The prices have changed in such a way that it's very hard to beat the system."[21]

Charlie's racetrack analogy is perfect for investors. Too often, investors are attracted to a long shot that pays incredible odds but, for any one of countless reasons, never finishes the race. Or sometimes they pick the sure thing without ever considering the payoff. It appears to me that the most sensible way to approach horse racing, or the stock market, is to wait until the good horse comes to the post with inviting odds.

The Element of Psychology

Andrew Beyer, the author of several books on Thoroughbred racing, has spent many years watching race goers bet and has seen far too many lose money through impetuosity. At the racetrack, as elsewhere, the casino mentality—the itch to get into the action: to put down the money, toss the dice, pull the lever, do something—compels people to bet foolishly, without taking the time to think through what they are doing.

Beyer, who understands the psychological urge to get into the game, advises players to accommodate it by dividing their strategy between action bets and prime bets. Prime bets are reserved for serious players when two conditions occur: (1) confidence in the horse's ability to win is high, and (2) payoff odds are greater than they should be. Prime bets call for serious money. Action bets, as the name implies, are reserved for the long shots and hunches that satisfy the psychological need to play. They are smaller bets and never are allowed to become a large part of the player's betting pool.

When a horseplayer starts blurring the distinction between prime bets and action bets, says Beyer, he or she "is taking a step that will inevitably lead toward helter-skelter betting with no proper balance between . . . strong and weak selections."[22]

From Theory to Reality

Now, let us move away from the racetrack and put all this theory together into the reality of the stock market. The chain of thinking is the same.

1. *Calculate probabilities*. This is the probability you are concerned with: What are the chances that this stock I am considering will, over